

U.S. Health Insurance Costs

By Income Level, 2000–2023

ACA and COVID-19 Policy Era Effects

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Prepared for policymakers, analysts, national media, and public audiences.

Overview

This analysis examines U.S. household spending on health insurance from 2000 through 2023, including inflation-adjusted dollars (2023 USD) and percent of household expenses. The study covers all five income levels.

Key Findings

1. Health insurance costs dropped noticeably after the 2020 peak, likely due to Congressional COVID-era subsidies. This effect is visible in all graphs, Figures 1–4, in this release.
2. Health insurance costs increased for all income levels from 2000 to 2023.
3. Lower-income households spend a much higher percentage of their total expenses on health insurance than higher-income households, and this percentage has increased substantially from 2000 to 2023.
4. Higher-income households saw the largest increases in real-dollar spending, now exceeding \$9,000 annually.
5. During ACA implementation (2010–2014), rising costs slowed and shifted into a different long-term pattern.

Additional Demographic Predictors

- Age bands such as 35–44, 45–54, and 65–74 strongly predicted both percent-of-expense and real-dollar spending.
- Metro vs. Non-Metro location (City Center, Metro-Outside, Non-Metro) significantly influenced cost patterns.
- Regional differences (Northeast, Midwest, South, West) contributed to substantial variation across income levels.

Future Considerations

- Population growth from 2000–2023 increased insurance demand.
- The number of Americans aged 65+ nearly doubled, and this age group has the highest healthcare costs.
- Working-age adult insurance cost patterns may warrant further study.

Interpretation

Insurance costs rose across all households. Lower-income families faced greater affordability challenges, while higher-income families saw the largest increases in real-dollar spending. ACA implementation and COVID-era subsidies produced visible shifts in cost trajectories.

Data and Methods

Data sources include the U.S. Bureau of Labor Statistics, Census Bureau, and inflation adjustments to 2023 USD. Analysis includes percent-of-budget measures, real-dollar spending, and trend modeling.

Figures Included

Fig 1: % of Household Costs (All Income Levels)

Fig 2: Spending in 2023 USD (All Income Levels)

Fig 3: % by Income Level (Actual)

Fig 3a: % by Income Level (Trend)

Fig 4: USD by Income Level (Actual)

Fig 4a: USD by Income Level (Trend)

Conclusion

From 2000–2023, rising insurance costs affected all income groups. Policy interventions moderated—but did not reverse—long-term trends.